

MARKETING IN A DIGITAL WORLD

MODULE 1: PRODUCT

Complete Study Notes — Textbook Edition

Gies College of Business · University of Illinois

Topics Covered: Marketing Overview · Product Development · Brand Management · Customer Co-Creation · Sharing Economy · Case Study: Threadless · Lego Ideas Exercise · Expert Interview: RVshare

Module Overview

This module explores how the digital revolution has fundamentally altered the way products are marketed, developed, and co-created. New digital tools enable customers to take an increasingly active role in developing and sharing products. The module examines two core digital concepts — Customer Co-Creation and the Sharing Economy — using lectures, case studies, expert interviews, and hands-on exercises.

Guiding Questions

The following questions frame the module's learning objectives. Students should be able to answer these comprehensively upon completing all materials:

- What are the main differences or characteristics of firm-created vs. co-created products and brands?
- What is the Sharing Economy, and how is it affecting both firms and consumers?
- Based on the topics discussed in this module, what have you learned about the evolution from traditional to digital marketing?

Key Concepts & Phrases

Term	Brief Description
Digital Marketing	The use of digital tools and platforms to enact the marketing mix
Product	Anything that fulfils a customer need or want (tangible or intangible)
Customer Co-Creation	Customer contributions that assist a firm in designing/developing a new product
Sharing Economy	Technology-enabled platforms providing users temporary access to crowdsourced resources

Course Structure: The Four Modules

This course is structured around the classic **Four Ps of Marketing**:

Module	Focus Area
Module 1 — Product	How digital tools enable customers to co-create the products and brands they consume
Module 2 — Promotion	How digital tools are changing product promotion and user-generated content
Module 3 — Placement	Digitisation of product distribution and the changing retail landscape
Module 4 — Price	New digital tools empowering customers to control the price they pay

Four Key Course Lessons

- **Lesson 1:** Marketing is a process of value exchange, facilitated by the 4 Ps: Product, Promotion, Placement, and Price.
- **Lesson 2:** The tools employed in enacting the 4 Ps are increasingly becoming digital and also becoming democratised.
- **Lesson 3:** This digitisation and democratisation are altering the roles of both firms and consumers. Both need to adopt new practices.
- **Lesson 4:** This course provides a firm foundation for the rest of the courses in the digital marketing specialisation.

CHAPTER 1

Marketing Overview

1. Marketing Overview

1.1 What Is Marketing?

The term *marketing* means different things to different people. Common misconceptions include equating it with advertising, sales, or even manipulation. To establish a rigorous foundation, two authoritative definitions are provided below.

"Marketing is not just about selling what you make, but also about making what people want."

— Steve Jobs, Co-founder of Apple

"Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large."

— American Marketing Association (AMA) — Official Definition

1.2 The Exchange Process

At its core, marketing is the enactment of a **mutually beneficial exchange** between two parties — a seller and a buyer. The seller is typically a firm; the buyer is typically a consumer. However, business-to-business (B2B) exchanges also exist.

Party	Contribution to Exchange
What Sellers Offer	Product, Service, Idea, Experience
What Buyers Provide	Money, Attention, Time, Energy

1.3 Two Key Challenges in Marketing

Despite the apparent simplicity of exchange, two systemic challenges complicate the marketing process for both firms and consumers:

Challenge 1 — Consumer Uncertainty

Consumers may not fully know what they really want and are often uncertain about the degree to which a particular product meets their needs. The sheer volume of choices available amplifies this uncertainty significantly.

Example: The average U.S. supermarket offers over 100 different types of shampoo. It would take hours to learn about all their ingredients, potential benefits, and appropriateness for different hair types.

Challenge 2 — Competing Offerings

There are typically many firms offering competing products in any given category. Firms must differentiate their offerings to attract and retain customers in a crowded marketplace.

1.4 The Four Ps of Marketing (The Marketing Mix)

To overcome these challenges, marketers developed the **Four Ps**, also called the **Marketing Mix**. The concept was introduced in **1960** by Professor **Jerome McCarthy** at Michigan State University and has stood the test of time as one of the most useful frameworks in marketing.

P	Description & Example
Product	Offer innovative products that meet customer needs and exceed expectations. The product's brand proposition must be unique and tell a compelling story. Example: Head & Shoulders shampoo is specifically formulated to meet the needs of people with dandruff.
Promotion	Communicate the product's benefits to potential customers. Traditionally done via television advertising and sales promotions such as coupons. Example: Suave shampoo built high awareness through many years of TV advertising.
Placement	Physically deliver the product to customers through distributors and retail stores. Example: Products purchased at a local supermarket — convenient and accessible.
Price	Determine the right price to facilitate purchase decisions. Strategies range from value pricing to premium pricing. Price is a primary factor influencing consumer purchasing decisions.

1.5 Digital Tools and the Marketing Mix

Over recent decades, strategically employing the Four Ps has allowed marketers worldwide to facilitate valuable exchanges. The digital evolution — encompassing the **Internet**, the **smartphone**, and the **3D printer** — has provided a new set of tools that are fundamentally altering all four components of the marketing mix.

CHAPTER 2

Product Overview

2. Product Overview

2.1 Definition of a Product

Product

Anything that fulfils a customer need or want. A product is most commonly thought of as a tangible good (e.g., a bottle of Coke), but it can equally be a service or an idea.

In most categories, multiple firms compete for the same customers. Therefore, a product must have a **distinctive selling proposition**, known in marketing as its **positioning**.

2.2 Types of Product Positioning

Type	Description & Example
Functional Positioning	Based on actual, tangible product differences. The product is positioned on what it literally does differently or better. Example: Head & Shoulders shampoo — positioned as a solution specifically formulated for dandruff.
Symbolic Positioning	Based on how a product is perceived rather than on a functional difference. The product fulfils emotional or social needs. Example: Coca-Cola — fulfils the need for thirst AND the desire for belonging; positioned as an original, iconic cola. Tagline: 'Coke is it.'

2.3 Key Product Concepts

- Product quality
- Managing a firm's product line
- Product service support

This module focuses on two fundamental concepts in detail: **Product Development** and **Brand Management**.

2.4 Product Development

2.4.1 Why Innovation Is Critical

Firms that are more innovative typically enjoy greater market success. Three canonical examples of highly innovative firms are **Apple**, **Google**, and **Netflix**, which create both new products and entirely new business models.

Type of Innovation	Description & Example
Radical Innovation	Disrupts traditional practices; creates entirely new products or business models. Relatively unusual. Example: Netflix's streaming platform transformed the entire entertainment industry, making physical media and traditional rental models obsolete.

Incremental Innovation	Focuses on improving existing products rather than creating entirely new ones. Far more common in practice. Example: Coca-Cola's product line extensions (Diet Coke, Coke Zero, Cherry Coke).
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2.4.2 Product Line Extensions

A **product line extension strategy** involves launching variants of a core product to target different market segments. Coke has successfully introduced:

- Diet Coke (also known as Coke Lite) — targeted toward women
- Coke Zero — targeted toward men
- Cherry Coke — flavour variant

This strategy allows a firm to target different offerings to different segments while leveraging the equity of the core brand.

2.4.3 The Product Development Process

To develop new products, most firms employ a **cross-functional team** comprising managers from marketing, sales, operations, and R&D.; These teams follow a scripted process, most commonly the **Stage-Gate Method**.

Stage-Gate Method

A product development framework in which development moves systematically from conceptualisation to launch in distinct stages. At each stage (gate), data is collected, progress is monitored, and approval from higher authority is sought before advancing.

Stages: Idea Generation → Concept Development → Product Design → Testing → Market Launch

2.4.4 Key Characteristics of Traditional Product Development

Characteristics of Traditional (Firm-Centred) Product Development

- Secretive in nature — external parties have little, if any, involvement
- Consumer insights are sought at only two points: the beginning and the end
- Only a small number of consumers are asked to provide input
- Despite being well-established and carefully managed, most new products still fail

2.5 Brand Management

2.5.1 What Is a Brand?

Brand

A name, symbol, or design that differentiates a firm's products from its competitors. Differentiation can be tangible (e.g., better taste) or intangible (e.g., a particular colour or design element).

Example: The Coke brand is differentiated not only by its name but also by the specific font it uses, the iconic contour design of its bottle, and the collarette (the distinctive label around the bottle neck).

2.5.2 Benefits of Strong Brands

Stakeholder	Benefits
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For Consumers	Help consumers decide what to buy; provide greater confidence and a sense of identity
For Firms	Ability to charge higher prices, enjoy greater customer loyalty, and experience enhanced profitability

2.5.3 Brand Equity

Brand Equity

The value of a brand over and above a generic product in the same category. Brand equity is a substantial intangible asset for many firms.

Example: Coca-Cola's brand equity is estimated to be worth over **\$100 billion**, which represents over **40%** of the firm's total market value. This illustrates just how valuable a strong brand can be.

2.5.4 Building Strong Brands

Most firms focus on building strong brands by:

- Carefully choosing brand elements (name, colour, brand symbol)
- Building strong associations through advertising campaigns
- Protecting their brand through trademarks

These functions are typically managed by a dedicated **brand management team** whose primary role is to manage the health of a brand over time.

2.6 The Shift from Firm-Created to Co-Created Products

Traditionally, both product development and branding are decisions made by a firm's brand managers with little input from customers. In the typical new product development process, consumer input is solicited only at the concept testing stage and the test market stage, and even then, only a small number of customers are asked.

This firm-centred approach is **breaking down** due to the rise of digital tools. The marketing landscape is shifting from **firm-created products and brands** to **co-created products and brands**.

Example: Threadless, a Chicago-based T-shirt manufacturer, has no design staff. All of its T-shirts are designed and selected by customers using a web-based platform in which designs are submitted, viewed, and voted upon by the crowd.

3. Customer Co-Creation (Part 1)

"Innovation happens everywhere, but there is simply more elsewhere than here."

— Goldman & Gabriel, Former Sun Microsystems Executives

3.1 Core Idea of Customer Co-Creation

The fundamental insight of customer co-creation is the recognition that companies can enhance their innovation activities by leveraging the knowledge, skills, and resources of external contributors — specifically their customers.

Over the past decade, a growing number of firms are leveraging the power of **online platforms** to ask consumers to contribute and select ideas for new products. In our digital age, customers are not only buying products — they may also be helping to design and develop them. This is a radical departure from the traditional, internally focused innovation process used prior to the digital revolution.

3.2 Three Real-World Examples of Customer Co-Creation

3.2.1 Unilever Foundry

Unilever is one of the world's largest manufacturers of consumer packaged goods, marketing over **400 products** and earning billions in profits each year. Its well-known brands include Dove, Hellmann's, and Lipton Tea. Founded nearly 100 years ago, Unilever actively solicits external ideas through the **Unilever Foundry** platform.

- Posts challenges and invites *anyone* to contribute ideas to solve them
- Many challenges are technical (novel ingredients, materials) but open to all over age 17
- Selected idea contributors receive a share of commercial proceeds

3.2.2 T-Bô

T-Bô is a U.S. company that makes and markets men's underwear. Co-creation is a core part of T-Bô's corporate DNA.

- Customers can apply to join the T-Bô Tribe by offering ideas for new products
- Website states: 'As part of the T-Bô Tribe, you get to decide what your ideal bodywear should look and feel like.'

T-Bô represents a company that has wholly embraced the philosophy of customer co-creation from its very founding.

3.2.3 Threadless

Threadless is a Chicago-based clothing firm specialising in creative T-shirt designs. It was voted one of the most innovative companies in America. Threadless has embraced co-creation from the very start — all T-shirt designs are created by and voted upon by its customers. Threadless is best understood as a **co-creation platform** rather than a traditional clothing company.

3.3 Definition of Customer Co-Creation

Customer Co-Creation

Contributions made by customers that assist a firm in the design and development of a new product offering. Note: 'customers' is used broadly — contributions may come from non-customers as well. Contributions are typically made via websites and often come in digital form.

3.4 Three Key Things to Know About Co-Creation

3.4.1 The Two Steps of Co-Creation

Successful customer co-creation requires two key steps:

- **Step 1 — Contribution:** A firm must get its customers to submit contributions.
- **Step 2 — Selection:** The firm must then select a few valuable contributions from a larger set, many of which may not be useful.

Both steps are challenging, but for different reasons:

Challenge of Contribution

- Customers are busy and usually care little about a company's product development
- Customers have little incentive to spend time providing ideas
- Many co-creation efforts fail because submission volume is too low

Challenge of Selection

- Most submissions are not useful — they may be too idiosyncratic
- Ideas may be too expensive to implement, or may have already been tried
- Firms face the difficult task of rejecting customer submissions
- Rejection risks alienating a firm's most highly engaged customers
- For co-creation to succeed, firms must convince customers to submit AND reject submissions without damaging relationships

3.4.2 How to Motivate Customer Participation

Research identifies two main methods for motivating customer participation in co-creation:

Motivation Type	Description
Social Recognition	Intangible rewards such as having one's name and design featured publicly as a winner; visibility and status within a community
Financial Reward	A percentage of sales revenue for any product using the contributor's idea or design

Most successful co-creation firms employ **both** types of rewards, usually awarded to customers whose contributions are selected.

Example: Customers who submit winning designs to Threadless receive: (1) a percentage of sales for any product using their design, and (2) the intangible benefit of having their name and design featured as a winner on the Threadless website.

3.4.3 The Four Types of Customer Co-Creation (The Co-Creation Matrix)

Research by Professor **Eric Fang** and **Matt O'Hearn** (now a professor at Indiana University) identified four different types of customer co-creation. These are illustrated through a two-by-two matrix based on the two key dimensions of co-creation:

- The degree of firm vs. crowd control over **Contribution**
- The degree of firm vs. crowd control over **Selection**

Type	Description & Example
Collaboration	High crowd control over both contribution AND selection. The community drives both what is submitted and what gets chosen.
Co-Designing	High crowd control over contribution; firm retains selection control. Example: Threadless — customers design and vote, but firm makes final production decisions.
Submitting	Firm controls what is contributed (via structured challenges); firm also selects. Example: Unilever Foundry — firm posts specific challenges and selects winners.
Tinkering	Crowd modifies existing firm products; firm selects which modifications to adopt. Lowest crowd autonomy.

CHAPTER 4

Customer Co-Creation — Part 2: Academic Recommendations

4. Customer Co-Creation (Part 2)

4.1 Academic Insight 1 — PDMA Handbook Chapter

This insight comes from a book chapter published in the **PDMA Handbook of New Product Development**, co-authored with a former student, Greg Fisher (now at Miami University in Ohio).

Key Observation

Many co-creation platforms by well-known companies such as **Dell** and **Starbucks** have been discontinued. This illustrates that co-creation is a very difficult task — even for large, resource-rich firms.

4.1.1 Two Key Challenges in Co-Creation

- **Challenge 1:** Convincing individuals to contribute ideas to your firm
- **Challenge 2:** Being able to select the good ideas from the bad

4.1.2 Key Success Factors

For Enhancing Contribution:

The Rule of One

Most successful contributors have only one good idea. Therefore, firms that engage in co-creation need to continually attract new contributors over time rather than relying on existing contributors to keep generating valuable ideas.

For Enhancing Selection Success:

Protect contributors' egos. In most co-creation platforms, more than **90%** of ideas contributed are rejected. To avoid hurting contributors' feelings, firms should:

- Avoid being perceived as the 'villain' — the party responsible for rejections
- Enlist the help of members of the co-creation community to help evaluate and select ideas
- With this approach, rejections are viewed as coming from the crowd rather than from the firm, reducing resentment

4.1.3 Co-Creation Readiness Scorecard

A **co-creation readiness scorecard** containing twelve questions allows firms to conduct a self-assessment of their readiness to engage in co-creation. (Available in supplementary readings.)

4.2 Academic Insight 2 — AI and Co-Creation Research

Published in the **2024 volume of Marketing Science**, this research by **Professor Jason Bell** from **Oxford University** and collaborators investigated: *Can AI be used to help firms screen ideas contributed to crowdsourcing contests?*

4.2.1 Methodology

- Created a series of AI models

- Trained them on over **4,000 ideas** submitted to over **20 different crowdsourcing contests** conducted by **Hy-Vee** (a large U.S. grocery store chain)
- Compared the ability of various models to screen out bad ideas

4.2.2 Key Findings

Three Key Findings on AI and Co-Creation

- **Finding 1:** None of the AI models were able to match the ability of human experts in terms of selecting the best ideas.
- **Finding 2:** AI models are quite effective at screening out bad ideas — on average, they can screen out nearly **half** of the bad ideas contributed to crowdsourcing challenges.
- **Finding 3:** The most effective AI model for this task is a relatively simple approach called '**word atypicality**' — which screens out ideas described using atypical or unusual words.

Conclusion: Firms engaging in co-creation can save considerable time, money, and effort by employing AI to assist managers in the idea selection process, specifically by screening out bad ideas — even if AI cannot yet identify the best ones.

4.3 Four Practical Recommendations for Co-Creation

Recommendation 1 — The Rule of One

When firms engage in new product development, they carefully test their ideas to ensure broad appeal. When consumers contribute ideas, they don't engage in this process. As a result, many contributions are **idiosyncratic** and may not appeal to others.

Example: *I prefer tea over coffee. Thus if Starbucks asked me for ideas, I would suggest offering more tea and less coffee — a bad idea given that most Starbucks customers prefer coffee.*

Typically, only **1%** of all customer contributions are useful enough to implement. This is an extremely low percentage, underscoring the need for firms to attract a very large volume of contributions and provide strong incentives.

Recommendation 2 — Authenticity Is Critical

In the digital age, **authenticity** is increasingly important and customers are increasingly sceptical. Customers are much more willing to contribute their ideas, time, and energies to companies that have a genuine need for their help and are not simply trying to exploit their efforts for commercial gain.

Example: *Customers readily contribute T-shirt designs to Threadless because its co-creation activity is highly authentic — Threadless started as a co-creation company. In contrast, customers would likely be less willing to contribute to a traditional T-shirt manufacturer that employs a large team of professional designers.*

Recommendation 3 — Patches and Badges

Customers who engage in co-creation appreciate being rewarded for their efforts. Most successful co-creation efforts award successful co-creators not just financially but also through a **visible symbol of recognition**.

Example: *NASA rewards co-creators by giving them a special patch they can proudly display. NASA found that this patch was a **stronger motivator** than actual financial rewards — a key finding with broad implications for co-creation programme design.*

Recommendation 4 — Don't Be the Bad Guy

One of the key dangers of customer co-creation is the possibility of **alienating customers** by rejecting their contributions. One effective way to reduce this risk is to engage the broader customer community to evaluate and vote on contributions.

***Example:** LEGO (via its Lego Ideas website) relies on its customer community to evaluate submitted ideas. This means fellow customers — not LEGO itself — are effectively rejecting submissions. This approach reduces the sting of rejection and avoids making LEGO look like the bad guy.*

CHAPTER 5

Case Study: Threadless

5. Case Study: Threadless

5.1 Background

Attribute	Detail
Founded	Year 2000 by Jake Nickell and Jacob DeHart
Founders' Age	Both in their early twenties; shared interests in computers and art
Original Goal	Provide an online forum for hosting design contests
By 2004	Earning over \$1 million in profits per year
2007	Opened a retail store on the north side of Chicago
2008	Named Most Innovative Small Company in America by Inc. Magazine
Business Model	Customers design and vote on T-shirt designs via web platform; winning designs are produced and sold

5.2 The Decline (Post-2014)

Around **2014**, Threadless began to lose momentum despite its earlier success:

- Sales slowed significantly; profits were down
- Laid off approximately **25%** of its workforce
- Closed its retail store in an attempt to cut costs
- Social media followers steadily declined
- Rarely, if ever, mentioned in the business press

Attempts to stimulate re-engagement included:

- Giving winning designers a percentage of **royalties** for each sale
- Creating a new feature called '**Artist Shops**' — allows individuals to sell their designs directly to Threadless customers without entering a design contest

5.3 The Key Issue

Threadless was one of the first and best examples of co-creation. Despite still being operational and apparently profitable, it has not achieved the runaway growth many anticipated. The business model remains heavily reliant on co-creation, but it is unclear whether this strategy will enable Threadless to reach expected growth levels.

5.4 Three Constituencies to Consider

5.4.1 The Community

Metric	Value / Implication
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Total Submissions Since Founding	Nearly 700,000
Designs Printed	Around 12,000
Selection Rate	Approximately 2% (i.e., 98% rejection rate)
Critical Implication	High rejection rates may discourage repeat submissions; Threadless must continually attract new designers

The community also serves the critical function of voting on winning designs. A large, active, and engaged community is therefore essential to the entire co-creation model.

5.4.2 Competition

Threadless's widely publicised success attracted numerous competitors into the co-created T-shirt market:

- Teespring
- TeeFury
- Design By Humans

Several of these competitors offer comparable products at lower prices. Threadless is therefore no longer as unique as it once was.

5.4.3 Customers

- Initial customers from the early 2000s are now approaching middle age and likely wear T-shirts less frequently
- Younger customers are likely to view Threadless as 'just another T-shirt company' rather than an innovative startup
- Many young people today are skilled with digital design tools and can get custom T-shirts printed through companies such as **Café Press**

5.5 Evaluation Questions

- **Q1:** What are the strengths of Threadless's co-creation strategy?
- **Q2:** What are the weaknesses of this strategy?
- **Q3:** How could Threadless improve its co-creation strategy? What tactics or tools could be used to enhance success?

Notable Fact

Threadless's former Chief Technology Officer, **Harper Reed**, left Threadless to become the CTO of President **Barack Obama's 2012 re-election campaign**.

CHAPTER 6

Sharing Economy — Part 1

6. Sharing Economy (Part 1)

"Sharing is good, and with digital technology, sharing is easy."

— Richard Stallman, Pioneer of the Open-Source Movement

6.1 Introduction and Timeline

The sharing economy connects individuals who have things they want to share with individuals who need those things. This new economy is changing the way people travel, what they wear, and how they obtain money.

Year/Period	Event
2006	LendingClub founded — world's largest peer-to-peer lending platform
2008	Airbnb established; Uber formed in California
2009	Uber launched; Rent the Runway launched
~2010	The sharing economy becomes a recognisable phenomenon
By 2030	Estimated value exceeds \$700 billion (exponential growth projected)

Currently, only around **40%** of Americans have tried a ride-sharing service such as Uber or Lyft — indicating considerable remaining market opportunity.

6.2 Open Questions About the Sharing Economy

Key Unresolved Questions

- **Profitability:** Many sharing platforms currently appear to be losing money. Long-term profitability of the business model remains uncertain.
- **Impact on Traditional Businesses:** The effect of sharing economy platforms on traditional businesses, and the appropriate response, is not yet fully understood.
- **Social Impact (Positive View):** The sharing economy is viewed as having a positive environmental effect by making greater use of existing resources.
- **Social Impact (Negative View):** The sharing economy has been criticised for paying providers low wages and providing few benefits.

6.3 Three Major Sharing Economy Platforms

6.3.1 Uber

Attribute	Detail
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Founded	2008, California — first car-sharing platform
Scale	Over 150 million riders; over 6 million drivers globally
Revenue	Earns billions of dollars each year
Uber Eats	Very successful food delivery service
Uber Copter	Helicopter service in New York (lower Manhattan to JFK)
Motorcycle	Available in India, Indonesia, Pakistan, and other markets
Robo-Taxi	Experimenting with autonomous vehicles that may one day replace drivers

6.3.2 Rent the Runway

Attribute	Detail
Founded	2009 — roughly same time as Uber
Service	Sharing platform for designer clothing (dresses, sweaters, jackets)
Pricing Model	Monthly subscription plans rather than per-usage payment
Supply Model	Actually owns the products it shares (does NOT crowdsource supply)
Locations	Small number of physical retail locations in New York, Chicago, Los Angeles
Value Prop	Customers rent expensive clothing for a fraction of the purchase cost

6.3.3 LendingClub

Attribute	Detail
Founded	2006 — older than both Uber and Rent the Runway
Description	World's largest peer-to-peer lending platform; 'Uber for money'
How It Works	Borrowers create listings; investors fund loans in amounts as low as \$25
Interest Rates	Usually between 5% and 25%
Average Loan	Around \$15,000, typically sourced from hundreds of small investors
Performance	Low rate of loan default; high rate of return on investment

6.4 Definition of Sharing Economy Firms

Sharing Economy Firms

Technology-enabled platforms that provide users with temporary access to resources that may be crowdsourced. (Definition drawn from academic research involving colleagues from Boston University and the University of Pennsylvania.)

Component	Explanation
Inherently Digital	Run on technology platforms; digital in nature
Temporary Access	Grant temporary access rather than permanent ownership
Crowdsourced Resources	Resources accessed are often (but not always) owned by external individuals

6.5 Three Characteristics of Sharing Economy Firms

6.5.1 Two-Sided Platform

Two-Sided Platform

A business model that requires a firm to recruit both customers AND providers. Unlike traditional firms (which only need to attract customers, as they create their own supply), sharing economy firms must market to both sides simultaneously to create supply and demand.

***Example:** Due to this challenge, some sharing platforms have decided to own their own supply. For example, Airbnb has moved into real estate development, building housing units uniquely designed for listing on its platform.*

6.5.2 Crowdsourced Supply

Most sharing platforms crowdsource their supply — housing, transportation, or money — from a large group of external individuals who are **not employees**.

Challenge: Because providers are not employees, platforms have limited control over them. Quality of offerings is often inconsistent.

Strategies to address quality control:

- **Careful Selection:** Background checks for providers
- **Training:** Giving providers a set of rules and procedures to follow
- **Rating Systems:** Encouraging customers to rate providers and eliminating providers with low ratings

6.5.3 Access Is Not Ownership

Nearly all sharing platforms provide **temporary access** rather than **permanent ownership**. Two important implications:

- **Try Before You Buy:** Customers can try products and services they would not normally choose to own. Example: The car-sharing platform **Turo** allows individuals to try luxury automobiles at a fraction of the ownership cost.
- **Lower Brand Attachment:** Sharing economy scholars suggest that brands accessed rather than owned are less central to self-identity and create lower levels of brand attachment. Example: Uber riders have no control over the brand of the car that picks them up and tend to care more about the driver than the vehicle.

CHAPTER 7

Sharing Economy — Part 2: Academic Recommendations

7. Sharing Economy (Part 2)

7.1 Academic Insight 1 — Origins of the Sharing Economy

Published in **Marketing Theory (2024)** by **Domino Badje** from the University of Southern Denmark and collaborators. This archival investigation examined the influence of social movements on the emergence of the sharing economy.

Key Findings — Origins of the Sharing Economy

- The sharing economy can be traced back to **2009**
- Two main influences: the **sharing movement** in the U.S. and the **collaborative consumption movement** in the U.K.
- Key influential work: **'What's Mine is Yours: The Rise of Collaborative Consumption'** (2010) by **Rachel Botsman** — one of the key voices in the early stage of the movement
- Underlying philosophy: capitalism and consumerism may be harmful to society and the environment; the sharing economy is promoted as an alternative, preferable approach to access needed resources
- Contemporary relevance: approximately **40% of U.S. adults** hold a negative view of capitalism — a growing audience for the sharing economy's ethos

Implication for Firms: A growing number of firms may wish to embrace the ethos of the sharing economy to appeal to the large and growing segment of consumers who question capitalism and consumerism.

7.2 Academic Insight 2 — Innovation in Sharing Economy Firms

Published in the **Journal of Product Innovation Management**. Authors: **Eric Fang**, doctoral student **Erika Lee**, and **Praveen Kapali** (Professor at Dartmouth College).

The research examined how innovation occurs in sharing economy firms, compared to traditional firms.

Key Difference from Traditional Firms	Explanation
Crowdsourced Offerings	Sharing platforms source offerings from a wide range of providers rather than a single firm
Temporary Access	Users access offerings temporarily rather than owning them permanently

7.2.1 Innovation Framework

Sharing economy platforms can innovate in two ways:

- **How their offerings are sourced** (the supply/crowdsourcing dimension)
- **How users access these offerings** (the access/ownership dimension)

7.2.2 Application to Uber — Case Analysis

The researchers examined approximately **50 different innovations** offered by Uber since 2009:

- Majority of early innovations: crowdsourced in nature and granting temporary access. Examples: **Uber Copter** (crowdsourced helicopters in NYC), **Uber Cats** (rent a cat — a promotional novelty)
- Recent trend: Uber's more recent innovations are starting to resemble **traditional firm innovation practices**. Example: **Uber One** — an exclusive membership programme similar to Amazon Prime, offering premium support and member-only services

Conclusion: As sharing economy platforms like Uber reach maturity, they are beginning to resemble traditional firms. This convergence is a significant finding for understanding the long-term evolution of the sharing economy.

7.3 Four Practical Recommendations for the Sharing Economy

Recommendation 1 — Leverage Your Prosumers

Prosumers

A contraction of 'producer' and 'consumer.' Individuals who provide crowdsourced resources to sharing platforms while also consuming the platform's services.

Prosumers offer sharing platforms benefits beyond their core resource contribution:

- Ride-sharing services (e.g., Uber) use prosumers to provide vehicles AND to communicate with riders
- Lending platforms (e.g., LendingClub) use prosumers to provide funds AND to help screen loan applicants

Sharing economy firms should strategically maximise the value extracted from their prosumer relationships.

Recommendation 2 — Employ Reverse Ratings

Reverse Ratings

A system in which providers rate customers, in addition to the traditional system where customers rate providers.

- Research finding: approximately **80% of customers** approve of this practice and view it as a desirable feature for sharing platforms such as Uber and Airbnb
- Rationale: Sharing economy firms must acquire and retain *both* customers and providers. Reverse ratings give providers more information about potential customers, helping them decide whether to serve them — improving provider retention

Recommendation 3 — Ride the Surge

Surge Pricing

A dynamic pricing strategy in which an algorithm adjusts current prices to match current demand. Surge prices are typically 2–3x normal prices.

Surge pricing solves the supply-demand matching problem unique to sharing platforms: unlike traditional firms, sharing platforms cannot simply hire or fire workers when demand fluctuates, because providers are not employees.

- Reduces the number of customers (demand-side adjustment)
- Increases the number of providers willing to serve (supply-side adjustment)

A growing body of research confirms that surge pricing is **effective at balancing supply and demand** in sharing economy contexts.

Recommendation 4 — Position on Price

Sharing economy platforms are often marketed on higher-order values:

- **Sustainability** — sharing resources (clothing, cars) is environmentally conscious
- **Community** — platforms build community among providers and users. Example: Airbnb claims its hosts are 'part of a global community creating a world where anyone can belong.'

However, research shows these are NOT the primary reasons customers use sharing platforms.

The key driver is:

The Real Motivation: Price and Value

- When prices rise, consumers defect — demonstrating price sensitivity
- Airbnb has faced criticism for hidden fees, often making it more expensive than a hotel
- In some markets (e.g., New York), hailing a taxi may be cheaper than Uber
- A growing number of consumers are questioning the sharing economy's value proposition

Recommendation: Sharing economy platforms should market their offerings as a way to **save money**, rather than save the world.

CHAPTER 8

Lego Ideas — Co-Creation E

8. Exercise: Lego Ideas

8.1 Background on Lego

Attribute	Detail
Founded	1949, Denmark
Customer Reach	Sold bricks to over one billion people across the planet
Core Insight	Customers routinely reassemble bricks into combinations Lego never imagined — representing vast untapped creative potential
Brand Status	One of the world's most valuable toy brands

8.2 Lego Ideas Platform

Attribute	Detail
Officially Launched	2014
Website	ideas.lego.com
Core Function	Fans submit new product ideas or concepts for Lego sets
Submission Volume	Hundreds of submissions per month from fans worldwide
Voting Mechanism	Other fans can 'support' submitted ideas
Review Threshold	If a submission receives 10,000 supporters, it is officially reviewed by the Lego team for possible development as a new product
Products Launched	Approximately 10 co-created ideas per year become official products
Compensation	If Lego produces the idea, the contributor receives a share of the commercial proceeds

8.3 Co-Creation Type: Lego Ideas

Lego Ideas is a clear example of the **'Submitting'** type of co-creation from the Co-Creation Matrix: the community submits and supports ideas, but the Lego team makes final production and selection decisions. Some scholars also categorise it as closer to 'Co-Designing' given the high degree of community voting involvement.

8.4 Private Feedback Categories on Lego Ideas

On a Lego product idea page, the following categories are available for private feedback to the creator:

- Details
- Originality
- Design Aspiration

- Building Techniques

8.5 Lego's Broader Strategic Goals

- Crowdfund product ideas directly from highly engaged fans, reducing development risk
- Use community voting (10,000 supporters) as a **market validation mechanism** before committing to production — free consumer research at scale
- Strengthen fan engagement, loyalty, and emotional connection to the brand
- Access creative talent from the global fan base without the cost of a full internal design team

CHAPTER 9

Expert Interview: Martijn Scheijbeler

9. Expert Interview: RVshare — Martijn Scheijbeler

Martijn Scheijbeler is the Vice President of Marketing of **RVshare**, a recreational vehicle (RV) rental marketplace — also known as camper vans, caravans, or travel trailers in other parts of the world. RVshare operates as a peer-to-peer sharing platform for RVs.

9.1 The RVshare Business Model

RVshare's model is built around a key behavioural insight about RV owners:

Core Insight

Approximately **87% of the year**, people who own an RV are not using it — it sits in their driveway or in storage. Owners typically use their RV for about **five weeks per year**, primarily on weekends.

The Depreciation Problem: An RV is a depreciating asset — unlike a house, it loses value over time. Owners therefore face ongoing costs with limited use.

The Solution: RVshare facilitates rental of the RV during the 87% of the time it would otherwise sit idle, generating additional side income that helps owners pay off their RV.

Rental Options

- Owner delivers the RV to a campground (renters don't need to drive it themselves)
- Renter picks up the RV from the owner's home, uses it, and returns it

Marketplace Model: RVshare does not own any RVs. It facilitates the process, making it easier for RV owners to list and rent, similar to how Airbnb does not own property.

9.2 Four Key Trends in the Sharing Economy

Trend 1 — Localisation

Things are becoming increasingly local. For RVshare, as more RVs join the platform, the closer renters can pick them up — eventually from a neighbour's driveway. People are willing to travel **10–20 miles** to pick up an RV, but greater platform density reduces this distance significantly.

Trend 2 — Professionalisation

There are significant opportunities to **professionalise** both marketplaces and the sharing economy overall. This means:

- Helping RV owners professionalise the rental process from the moment they consider purchasing an RV
- Raising the quality and consistency of the provider experience

Example: *Uber and Lyft already differentiate service tiers — from Pool to Uber Lux — reflecting the professionalisation of the ride-sharing space.*

Trend 3 — Rising Standards

Sharing economy sectors are developing **baseline expectations** analogous to hotel industry standards (seamless booking, amenities like towels and Wi-Fi). Over time, these become minimum requirements,

while above-and-beyond providers gain a competitive advantage.

Example: *In car sharing, a bottle of water in the vehicle became an expected amenity over time.*

Trend 4 — Local Sharing for Smaller Assets

Local sharing is becoming more important, especially for smaller assets. Platforms like **Nextdoor**, **Facebook Marketplace**, and **Craigslist** already facilitate local sharing economy transactions.

Example: *Martijn needed a circular saw for a backyard project. Purchasing a \$200–300 tool for a one-time use makes little economic sense. Borrowing from a neighbour (or a stranger five streets away, facilitated by a platform) would be the rational choice. Platforms are emerging to make this possible.*

Future Expansion: The range of shareable assets is broadening from vacation homes and cars to appliances (Instapots, ovens), tools, storage units, and more.

9.3 Final Advice from Martijn Scheijbeler

"Figure out how you can contribute yourself — whether as part of the community or by renting out assets, from a hammer to an RV or storage unit. By contributing, you help build the sharing economy faster, and it pays back. If you need something later, the community will be larger and more useful. It is also part of making the world more asset-light."

— Martijn Scheijbeler, VP of Marketing, RVshare

CHAPTER 10

Quiz Questions & Answers

10. Quiz Questions and Answers

All quiz options are listed below. The correct answer is marked with a checkmark (✓). Explanations follow each question.

Quiz 1: Product Overview

Q1. Innovation is viewed as a critical element in the success of product development. Which firm's innovation strategy is DIFFERENT from the others?

- ☐ A. Apple
- ☒ B. Coca-Cola
- ☐ C. Google
- ☐ D. Netflix

Explanation: Apple, Google, and Netflix are examples of radical innovation — disrupting traditional practices and creating entirely new products/business models. Coca-Cola primarily engages in incremental innovation through product line extensions (Diet Coke, Coke Zero, Cherry Coke) — improving existing products rather than creating new ones.

Q2. Strong brands have which of the following benefits?

- ☐ A. Charge higher prices
- ☐ B. Enjoy greater loyalty
- ☐ C. Experience higher profitability
- ☒ D. All of the above

Explanation: All three benefits are components of brand equity. Strong brands allow firms to charge premium prices, build stronger customer loyalty, and achieve enhanced profitability — this is the essence and value of brand equity.

Quiz 2: Customer Co-Creation

Q1. When firms engage in co-creation, they face the challenge of having to reject customer submissions and risk creating bad will with some of their most highly engaged customers.

- ☒ A. True
- ☐ B. False

Explanation: Selection is a key challenge in co-creation precisely because more than 90% of submissions are rejected. Firms must carefully manage this process to avoid alienating their most engaged customers — the very people who are most valuable to the co-creation ecosystem.

Q2. Which of the following are practical recommendations regarding co-creation?

- ☐ A. The Rule of 1
- ☐ B. Authenticity is critical
- ☐ C. Patches & badges
- ☒ D. All of the above

Explanation: All four recommendations were covered in the lectures: (1) The Rule of One — most contributors have only one good idea, so keep attracting new contributors; (2) Authenticity is critical — customers contribute to authentic co-creation companies; (3) Patches and badges — symbolic recognition

is a strong motivator (NASA found it stronger than financial rewards); (4) Don't be the bad guy — let the community reject ideas rather than the firm.

Quiz 3: Sharing Economy

Q1. Which of the following are characteristics of sharing economy firms?

- ☐ A. Two-sided platform
- ☐ B. Crowdsourced supply
- ☐ C. Access not ownership
- ☒ D. All of the above

Explanation: The three defining characteristics of sharing economy firms are: (1) They operate as two-sided platforms, requiring recruitment of both customers and providers; (2) They rely on crowdsourced supply from external individuals; (3) They provide temporary access rather than permanent ownership.

Quiz 4: Lego Ideas Case Study

Q1. Which of the following statements about Lego and Lego Ideas is CORRECT?

- ☐ A. Lego Ideas platform was launched in 2013.
- ☒ B. Lego Ideas platform allows fans to support product ideas.
- ☐ C. Lego was established in 1948.
- ☐ D. Lego was founded in Belgium.

Explanation: B is correct. Lego Ideas explicitly allows fans to support submitted product ideas.

Corrections: Lego Ideas launched in 2014 (not 2013); Lego was established in 1949 (not 1948); Lego was founded in Denmark (not Belgium).

Q2. How many supporters does it take for the Lego team to officially review a product idea?

- ☒ A. 10,000 supporters
- ☐ B. 100 supporters
- ☐ C. 5,000 supporters
- ☐ D. 1,000 supporters

Explanation: According to the course material, a submission must receive exactly 10,000 supporters before it is officially reviewed by the Lego team for possible development as a new product.

Q3. What categories of feedback can you leave as private feedback to the creator on a Lego product idea page? (Select all that apply)

- ☒ A. Details
- ☒ B. Originality
- ☒ C. Design Aspiration
- ☒ D. Building Techniques

Explanation: All four categories are available for private feedback on Lego Ideas product pages: Details, Originality, Design Aspiration, and Building Techniques.

Q4. If your Lego idea gets produced, one of the key benefits is getting compensated for the idea.

- ☐ A. False
- ☒ B. True

Explanation: Contributors whose ideas are selected and produced by Lego receive a share of the commercial proceeds — financial compensation is indeed one of the key benefits of having an idea

accepted.

Q5. On which section of the Lego Ideas website can you explore various Lego ideas?

✓ **A. Product Ideas**

■ B. Staff Picks

■ C. Contests

■ D. Most Supported

Explanation: The exercise instructions specifically direct students to click the Explore tab and then select 'Product Ideas' to see all ideas submitted to the website.

11. Descriptive Questions & Model Answers

The following questions are designed for deeper examination and are each worth 3–4 marks. Model answers are provided; students should elaborate with specific examples and data points from the module.

Q1. What is customer co-creation, and why is it challenging for firms to implement successfully? Discuss with reference to the key steps involved and the '1% rule.'

Customer co-creation refers to contributions made by customers (or external parties) that assist a firm in the design and development of a new product offering. It represents a fundamental shift from the traditional firm-centred innovation model to one that harnesses the collective knowledge and creativity of consumers via digital platforms.

Co-creation involves two key sequential steps: Contribution (getting customers to submit ideas) and Selection (identifying valuable ideas from a large and often poor-quality pool). Both steps are independently challenging.

The Contribution challenge stems from the fact that customers are busy, typically have limited incentive to invest time in a firm's product development process, and often care little about the product category. Many co-creation initiatives have failed due to insufficient submission volumes — even platforms launched by companies as large as Dell and Starbucks have been discontinued.

The Selection challenge is equally significant. Most submissions are idiosyncratic — reflecting personal preferences that are not generalisable — or are too expensive to implement, or have already been tried. Research shows that typically only 1% of all customer contributions are useful enough to implement. At Threadless, only ~2% of nearly 700,000 submitted designs were ever produced. This low conversion rate means firms must attract very high submission volumes while simultaneously managing the sensitive task of rejecting the other 99% without alienating their most engaged customers — the very people most likely to submit again.

Academic research by Professor Jason Bell (Oxford, Marketing Science 2024) suggests AI tools can assist by screening out bad ideas — eliminating nearly half of poor-quality submissions — though AI cannot yet match human experts in identifying the best ideas. The 'word atypicality' model (screening out ideas using unusual language) was identified as the most effective AI approach.

Q2. Describe the four key characteristics of sharing economy firms and explain how these differ from traditional firms. Use specific examples.

Sharing economy firms are defined as technology-enabled platforms that provide users with temporary access to resources that may be crowdsourced. They differ from traditional firms in three foundational ways, and exhibit one additional structural characteristic:

First, they are inherently digital. Unlike traditional firms that may have physical production and distribution infrastructure, sharing platforms run on technology and exist as digital marketplaces connecting supply and demand.

Second, they provide temporary access rather than permanent ownership. Uber provides a ride; it does not sell a car. Rent the Runway lends a dress; it does not sell clothing. This model has implications for brand attachment (lower, since the product is not integrated into the consumer's identity) and enables a 'try before you buy' dynamic (e.g., Turo for luxury cars).

Third, they rely on crowdsourced supply from external individuals who are not employees. Uber's 6 million drivers own their own vehicles. LendingClub's capital comes from individual investors. Airbnb's accommodation is provided by property owners. This creates a quality control challenge — the platform has limited authority over providers. Platforms address this through background checks, training protocols, and rating systems (both provider ratings by customers and reverse ratings of customers by providers).

Fourth, they operate as two-sided platforms — a key structural feature. Unlike traditional firms that only need to attract customers (because they control their own supply), sharing platforms must simultaneously recruit both customers and providers. This is a significant marketing challenge. Some platforms (e.g., Airbnb) have begun owning their own supply — building housing units specifically for listing — blurring the line with traditional firms.

Q3. Analyse Threadless's co-creation strategy. Discuss its strengths, weaknesses, and potential improvements, considering the three constituencies identified in the case.

Threadless, founded in 2000 by Jake Nickell and Jacob DeHart, became one of the most celebrated early examples of customer co-creation. By 2004 it was earning over \$1 million in profits annually and was named Most Innovative Small Company in America by Inc. Magazine in 2008.

Strengths: Threadless's co-creation model is highly authentic — it was founded as a co-creation platform, not retrofitted as one. Research shows customers are more willing to contribute to genuinely authentic co-creators. The platform successfully combines both motivational levers: financial rewards (royalty percentages) and social recognition (featured winner status). The use of community voting also protects Threadless from being the 'bad guy' when designs are rejected — consistent with best practice recommendations.

Weaknesses: The 98% rejection rate (only ~12,000 of 700,000 submissions were ever produced) is extremely high, potentially discouraging repeat contributors. The platform violates the spirit of 'The Rule of One' by over-relying on existing community members rather than continually attracting new contributors. Its initial customer base has aged (early-2000s users are now approaching middle age), while younger consumers see Threadless as an established company rather than a disruptive startup. Competition from Teespring, TeeFury, and Design By Humans has eroded Threadless's uniqueness, with some competitors offering comparable products at lower prices.

Improvements: Threadless could apply AI screening tools (per the Bell et al. 2024 study) to process more submissions efficiently, potentially increasing the acceptance rate and reducing contributor frustration. Expanding the Artist Shops feature — which already allows direct-to-consumer sales without contest entry — could reduce dependence on the binary contest model. Targeting younger digital natives who are comfortable with design tools could reinvigorate the contribution pipeline. Strategically repositioning as a community platform aligned with anti-consumerism values (per the sharing economy's anti-capitalist roots) could also attract the 40% of U.S. adults who hold negative views of conventional capitalism.

Q4. Explain the four practical recommendations for the Sharing Economy. Which do you think is most important and why?

The four practical recommendations for sharing economy firms are:

1. **Leverage Your Prosumers:** Prosumers (producer-consumers) are the individuals who provide crowdsourced resources. Beyond their core contribution, they can serve multiple platform functions — Uber drivers communicate with riders; LendingClub investors also screen loan applicants. Platforms should strategically identify and maximise all the ways prosumers can add value.
2. **Employ Reverse Ratings:** Approximately 80% of customers approve of systems where providers can rate customers. Since sharing platforms are two-sided, retaining providers is as important as retaining

customers. Reverse ratings give providers better information about potential customers and improve provider satisfaction and retention.

3. Ride the Surge (Surge Pricing): Dynamic pricing — where prices are adjusted algorithmically to match demand — solves the supply-demand balancing problem unique to platforms without employees. Surge prices (typically 2–3x normal) simultaneously reduce demand and increase willing providers, clearing the market. Research confirms this effectiveness.

4. Position on Price: Despite sustainability and community narratives, research shows that the primary driver of sharing economy adoption is lower price and greater value. When prices rise (e.g., Airbnb's hidden fees, Uber surge pricing at all times), consumers defect. Platforms should market on economic value rather than ideological appeal.

The most critical recommendation is arguably Position on Price, because it is counter-intuitive yet empirically validated. Many platforms invest heavily in sustainability messaging, but this does not reliably drive adoption. Price sensitivity is the revealed preference of consumers — as demonstrated by defection when prices rise and criticism of Airbnb's hidden fees. Understanding this allows firms to build more effective marketing strategies and avoid investing in narratives that do not convert to usage.

Q5. Compare and contrast Customer Co-Creation and the Sharing Economy as two distinct digital marketing phenomena. What do they have in common?

Both Customer Co-Creation and the Sharing Economy represent fundamental shifts enabled by digital tools that alter the traditional roles of firms and consumers. Both were unthinkable at scale before the internet and smartphones made real-time connection and coordination of large crowds feasible.

In Customer Co-Creation, consumers move upstream in the value chain — from purchasing completed products to actively designing and developing them. Firms open their innovation processes to external contributors, leveraging platforms to crowdsource product ideas and designs. The consumer's role shifts from passive buyer to active co-developer. Examples include Threadless (design), Unilever Foundry (innovation challenges), and Lego Ideas (product concepts).

In the Sharing Economy, consumers become prosumers — simultaneously producing and consuming. Assets that were previously idle (cars, homes, tools, money) are mobilised through digital platforms and made available to others. Consumers move from owning products to accessing them temporarily. Examples include Uber (transportation), Airbnb (accommodation), and LendingClub (capital).

Key similarities: Both are driven by digital platforms; both shift power toward the consumer; both leverage the crowd as a resource; both create quality control challenges for firms (managing thousands of contributors or providers); and both require firms to rethink traditional marketing mix strategies.

Key differences: Co-creation is primarily about intellectual contribution (ideas, designs), while the sharing economy involves physical asset contribution. Co-creation is inherently collaborative with the firm's R&D/design process; the sharing economy is transactional. In co-creation, the firm retains control over production; in the sharing economy, the firm is often only an intermediary.

12. Key Terms & Definitions Glossary

All essential terms from Module 1 are compiled below for rapid revision.

Term	Definition / Key Detail
American Marketing Association (AMA)	Defines marketing as: 'the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.'
Brand	A name, symbol, or design that differentiates a firm's products from competitors. Can be tangible or intangible.
Brand Equity	The value of a brand over and above a generic product in the same category. Coke's brand equity is estimated at over \$100 billion (~40% of total market value).
Co-Creation Matrix	A 2x2 framework (by Eric Fang & Matt O'Hearn) categorising co-creation types: Collaboration, Co-Designing, Submitting, Tinkering — based on contribution and selection control.
Customer Co-Creation	Contributions made by customers (or external parties) that assist a firm in the design and development of a new product offering.
Four Ps (Marketing Mix)	Product, Promotion, Placement, Price. Introduced by Prof. Jerome McCarthy at Michigan State University in 1960.
Functional Positioning	Positioning based on actual, tangible product differences (e.g., Head & Shoulders for dandruff).
Incremental Innovation	Improving existing products rather than creating entirely new ones. Far more common than radical innovation.
Prosumer	A contraction of 'producer' and 'consumer.' Individuals who provide crowdsourced resources to sharing platforms while also being consumers.
Radical Innovation	Disrupts traditional practices and creates entirely new products or business models (e.g., Netflix streaming).
Reverse Ratings	A system in which providers rate customers (as well as the traditional system of customers rating providers). ~80% of customers approve.
Rule of One	Most co-creation contributors have only one good idea. Firms must continually attract new contributors rather than relying on existing ones.
Sharing Economy	Technology-enabled platforms that provide users with temporary access to resources that may be crowdsourced. Key characteristics: digital, temporary access, crowdsourced supply.
Stage-Gate Method	A product development framework moving from Idea Generation → Concept Development → Product Design → Testing → Market Launch, with reviews ('gates') at each stage.

Surge Pricing	A dynamic pricing strategy adjusting prices algorithmically to match current demand. Typically 2–3x normal prices. Balances supply and demand on sharing platforms.
Symbolic Positioning	Positioning based on perception rather than functional differences (e.g., Coca-Cola as an iconic, original cola fulfilling a sense of belonging).
Two-Sided Platform	A business model requiring a firm to recruit both customers AND providers, unlike traditional firms that only attract customers.
Word Atypicality	An AI screening method that filters out ideas described using unusual or atypical words. Identified as the most effective AI model for screening bad co-creation submissions (Bell et al., Marketing Science 2024).

Key Data Points for Quick Revision

Item	Key Data Point
Four Ps Origin	1960, Professor Jerome McCarthy, Michigan State University
Coke Brand Equity	Over \$100 billion (~40% of total market value)
Co-Creation Useful %	Only ~1% of all customer contributions are useful enough to implement
Co-Creation Rejection Rate	Over 90% of submissions are rejected in most platforms
Threadless Submissions	~700,000 total; ~12,000 printed (~2% acceptance rate)
Threadless Founded	Year 2000, Chicago; founders Jake Nickell & Jacob DeHart
Threadless Inc. Award	Most Innovative Small Company in America (Inc. Magazine, 2008)
Airbnb Founded	2008
Uber Founded/Launched	2008 (formed), 2009 (launched)
Uber Scale	150+ million riders, 6+ million drivers
LendingClub Founded	2006 (oldest of the three examples)
Sharing Economy Value	Estimated \$700+ billion by end of 2030
US Ride-Share Adoption	Only ~40% of Americans have tried ride-sharing
US Anti-Capitalism	~40% of US adults hold a negative view of capitalism
Lego Founded	1949, Denmark
Lego Ideas Launched	2014
Lego Ideas Threshold	10,000 supporters for official review
Lego Ideas Output	~10 co-created products launched per year
AI Study	Bell et al., Marketing Science 2024; 4,000+ ideas, 20+ contests, Hy-Vee
AI Screening Efficacy	AI can screen out ~50% of bad ideas; cannot match human expert selection

NASA Co-Creation	Patch as reward — found to be a stronger motivator than financial reward
Harper Reed	Threadless CTO → CTO of Obama's 2012 re-election campaign
RVshare Insight	~87% of the year, RV owners don't use their RV (~5 weeks of use/year)
Reverse Ratings Approval	~80% of customers approve of providers rating customers
Surge Pricing Range	Typically 2–3x normal prices

END OF MODULE 1 — MARKETING IN A DIGITAL WORLD

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